

23LBCV02181 23LBCV02181

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Case Number: 23LBCV02181 Hearing Date: September 10, 2026 Dept: S27

Kellum

Trial - 23LBCV02181 Tentative Ruling

The court

hereby issues its tentative ruling following the trial in this matter. The complaint has three causes of actions: 1) Partition of Real Property;
2) Accounting/Unjust Enrichment and 3) Declaratory Relief.

The court

sees two central issues as follows

1.

Should

Dwayne be compensated for acting as the general contractor? Are there any equitable (or case law) concepts that would allow Dwayne to be reimbursed? (He's claiming 19 hours a week at 76 weeks, for a total of \$85,500.)

It was not

reasonably disputed that all parties agreed that Dwayne would take on the role of overseeing the remodeling due to the fact that Gary had a fulltime job as a Los Angeles Sheriff's Deputy Sergeant working the county jails, including a lot of overtime and Arthur was a truck driver, and Dwayne working from home and having more capacity and time. Arthur and Gary did not think that by Dwayne overseeing the renovations it took away from his regular work. One of the major disputes was whether Dwayne should be compensated for essentially acting as a general contractor for the benefit of all parties. Arthur and Gary contend that there was no discussion of compensation to Dwayne, whereas Dwayne contends he believes Gary

told him he would be compensated, while Arthur never mentioned compensation, and the number he remembers from Gary is \$50,000. There was also testimony that Gary preferred initially to have gone with a contractor rather than with Dwayne.

There are two equitable theories that could support an award of compensation to Dwayne for acting as general contractor: (1) Quantum Meruit and (2) Equitable Accounting and Credit in a Partition Action.

Quantum Meruit

"Quantum meruit refers to the well-established principle that 'the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered.' To recover in quantum meruit, a party need not prove the existence of a contract, but it must show the circumstances were such that 'the services were rendered under some understanding or expectation of both parties that compensation therefor was to be made' " (Huskinson & Brown v. Wolf (2004) 32 Cal.4th 453, 458, internal citations omitted.)

"The general rule [is that] when services are rendered by one person, from which another derives a benefit, although there is no express contract or agreement to pay for the services, there is a 'presumption of law which arises from the proof of services rendered that the person enjoying the benefit of the same is bound to pay what they are reasonably worth.' " (Moore v. Spremo (1945) 72 Cal.App.2d 324, 329–30.)

"Ordinarily, where services are rendered and voluntarily accepted, the law will imply a promise upon the part of the recipient to pay for them; but where services are rendered by members of a family, living in one household, to each other, or necessities are supplied by one near relation to another, the law will presume that they were gratuitous favors merely, prompted by friendship, kindness, and the relationship between them. And in such case, before the person rendering the service can recover, the express promise of the party served must be shown or such facts and circumstances as will authorize the jury to find that the services were rendered in the expectation by one of receiving, and by the other of making compensation therefor." (Ruble v. Richardson (1922) 188 Cal. 150, 157, 204 P. 572, 575.)

Here, the

key inquiry is whether the circumstances at the time the services were rendered were such that both parties understood or expected compensation would be made.

There was a clear understanding between the parties that the house would be remodeled and then used as a rental with a rental value of \$3,000/month, with the brothers splitting the rental profits equally. Based on Plaintiffs' reading of the evidence, Dwayne was expected to expend labor and time to carry out the remodel for the benefit of Arthur and Gary, without any compensation. The brothers were to then split the rental income equally. However, that income would arguably be of lesser value without Dwayne's labor.

Under

Moore, there is a legal presumption that Dwayne would be compensated for his services in acting as general contractor while renovating a rental property that all parties would derive equal income from. Further, the family member exception enumerated in *Ruble* does not appear to defeat that presumption here. The brothers did not live in one household, and the services were not "necessaries" or "gratuitous favors" but rather a laborious undertaking for the monetary benefit of all parties that would ordinarily require paying a professional contractor for their services. Defendant's construction expert Steve Viani testified that the time Dwayne spent was reasonable, and that the reasonable rate for the work Dwayne performed was approximately \$80 per hour. The expert also testified without dispute that a general contractor would have charged \$300,000 or more to perform the work Dwayne accomplished for under \$200,000. (Defendant's Closing Brief, p. 4.) It would be unreasonable to expect Dwayne to carry out this work for free.

Plaintiffs'

own brief states that "this was not a casual arrangement, but rather one where the brothers created a business entity and a separate business account to manage the income property." (Plaintiffs' Closing brief, p. 3.) As Plaintiffs concede that this was a business arrangement, there is no basis for the family member exception to deprive Dwayne of credit for services rendered. In any other business arrangement, it would be understood or expected by the parties that compensation would be made to Dwayne.

Therefore,

Dwayne has a valid claim for recovery through the equitable theory of quantum

meruit.

Equitable

Accounting and Credit in a Partition Action

“The court

may, in all cases, order allowance, accounting, contribution, or other compensatory adjustment among the parties according to the principles of equity.” (CCP § 872.140.)

“Essential

principles of equity require that a co-tenant be credited with improvements made in good faith regardless whether the court proceeds by division or sale of the property provided that it can be done without material injury to the rights of the other parties.” (Wallace v. Daley (1990) 220 Cal.App.3d 1028, 1038.) “Even though one cotenant does not consent to the making of the improvement, since an action for partition is essentially equitable in its nature, a court of equity is required to take into account the improvements which another cotenant, at his own cost in good faith, placed on the property which enhanced its value....” (Id., 1036.)

“[I]mprovements were not only necessary to the preservation of the common property, but enhanced its rental value, and the resulting profits were shared equally with the plaintiff. To permit the plaintiff to participate in the benefits which must have resulted from improvements necessary to the preservation of the entire property, and at the same time share equally in the increased rentals which followed the making of a part of the improvements, would manifestly be inequitable, unless provision be also made upon partition for suitable compensation to Tiscornia for the cost of such improvements.” (Ventre v. Tiscornia (1913) 23 Cal.App. 598, 607.)

Here, Plaintiffs do not reasonably dispute that the improvements Dwayne facilitated were necessary to the preservation of the common property, enhanced its rental value, and that value was to generate rental income to be shared equally between the parties. In fact, both Arthur and Gary testified that the work was satisfactory and they had no complaints about the work.

Dwayne also puts forth substantial evidence that would

support equitable compensation for acting as a general contractor. "The evidence showed that the pre-remodel condition of the property required substantial work. The December 31, 2021 inspection report identified numerous issues, including deteriorated framing and sheathing, inadequate drainage, deteriorated eaves and rafter tails, water intrusion, electrical issues, exposed wiring, missing GFCI protection, outdated smoke detectors, galvanized piping beyond its intended service life, leaking drain lines, plumbing deficiencies, deteriorated flooring and walls, moisture damage, foundation cracking, and termite-related concerns. The later inspection showed material improvement, including that the electrical main/service panel had been updated within the prior two years and was in good serviceable condition, and that visible copper supply piping and ABS drain/waste piping appeared serviceable and updated within the prior one to two years. Exhibit 103 was admitted into evidence and summarized Dwayne's remodel expenses, including vendor, contractor, labor, mortgage, insurance, property tax, utility, storage, hauling, plumbing, electrical, HVAC, fencing, and other payments. Exhibit 103 lists total cash and expense payments of \$196,827.67, lists 1,140 hours worked on the remodeling project, lists labor value of \$85,500.00, and lists a total remodel cost of \$282,327.67. Defendant's construction expert Steve Viani testified that day laborers commonly do not provide receipts, that day laborers are commonly used to keep construction costs down, that the time Dwayne spent was reasonable, and that the reasonable rate for the work Dwayne performed was approximately \$80 per hour. The expert also testified without dispute that a general contractor would have charged \$300,000 or more to perform the work Dwayne accomplished for under \$200,000." (Defendant's Closing Brief, p. 4.)

Plaintiffs

do not meaningfully dispute this evidence. Plaintiffs first argue that Dwayne is not entitled to any compensation for his contractor work per *Nevarov v. Nevarov* (1953) 117 Cal.App.2d 581, 586: "[t]he usual rule is that one partners is not entitled to more compensation than another in the absence of an agreement to the contrary." (Plaintiffs' Reply Brief, p. 3.) However, *Nevarov* discussed only whether one partner is entitled to more salary than another arising out of that partnership. *Nevarov* is thus unavailing in this case which does not involve a salary dispute arising out of a partnership.

Plaintiffs

next argue that "California law recognizes that a cotenant who makes improvements that enhance property value may receive credit in partition, but that credit is for expenditures - money paid - not for the cotenant's own

labor.” (Plaintiffs’ Reply Brief, p. 4.) However, Plaintiffs cite no legal authority for this proposition.

Plaintiffs finally

argue that “equity does not support a labor credit where the cotenant seeking it simultaneously breached his duties to the other cotenants. Dwayne restricted Plaintiffs’ access to the business account, failed to provide documentation, wrote checks to himself without accountability, and occupied the income property without paying rent. A cotenant cannot invoke equity to obtain credit for alleged labor while denying his co-owners the transparency and income to which they were entitled. Cal Code Civ Proc § 872.140.” (Plaintiffs’ Reply Brief, p. 4.) However, Plaintiffs’ cited code section merely states the Court’s general power to order allowance, accounting, contribution, or other compensatory adjustment among the parties according to the principles of equity. Plaintiffs otherwise put forth no case law to support their argument regarding Dwayne’s alleged breach of his duties as cotenant serving as a bar to labor credit. This argument is thus unavailing.

Overall, the Court is empowered to credit

Dwayne for his labor under its powers of equitable accounting and credit in a partition action under CCP § 872.140.

However, due to the various conflicting accounts of what Dwayne should be owed, the Court is awarding \$50,000.

2. Should Dwayne have been paying rent
(not just the mortgage)?

Plaintiffs assert

that the parties hold title to the Subject Property as tenants in common and concede that the general rule is that each tenant in common has the right to occupy the common property, and that one co-tenant generally cannot recover rent from another. However, Plaintiffs argue that general rule does not apply where, as here, the parties specifically agreed that Dwayne would pay rent for the Subject Property. Plaintiffs contend that the agreement that Dwayne would pay rent controls, and Plaintiffs are entitled to their rent as demanded.

The evidence

as to this “agreement” to pay rent is conflicting. Per Plaintiffs’ Closing Brief, Gary testified on this issue as follows: “The parties came to an

agreement: Dwayne would pay \$1,730.00 per month and then \$3,000.00 per month. (See Ex. 6.) Gary testified that Dwayne would start paying \$1,730.00 per month within "one to two months" of the February 2023 text message. Gary and Arthur further would require Dwayne to sign a "letter", which Gary explained was essentially a writing explaining the payment of rent. (Id.) Gary and Arthur were going to meet Dwayne at AAA by the airport to review the "letter" and then they would have the writing notarized. (Id.) Gary testified that Dwayne never ended up signing the "letter" despite their asking him to do so. Dwayne and his family were already living in the Subject Property at this point."

As to

Arthur, Plaintiffs' Closing Brief sets forth that "Arthur testified that he understood that Dwayne would be paying rent for the Subject Property, and he agreed in redirect that it was his understanding that Dwayne would begin paying \$1,730.00 per month within one to two months of the text messages dated February 18, 2023 and then the amount would go to \$3,000.00 per month. (See Ex. 6.) Arthur confirmed that he and Gary wanted Dwayne to sign the "letter" which would be notarized concerning the payment of rent, but that Dwayne never did."

As to

Dwayne, Plaintiffs' Closing Brief sets forth that "Dwayne testified that prior to moving into the Subject Property, he was paying \$2,300.00 per month for his home in Lakewood, California. He was a renter there. He moved into the Subject Property but never paid Plaintiffs any amount of rent. Except for a few months in which Gary paid part of the loan payments, Dwayne was paying the mortgage payments, but out of the business account. (See Ex. 3.) He did not sign the "letter" and didn't feel that he needed to sign anything because he was a part owner of the Subject Property and had a right to live there. (See also Ex. 6.) However, he did admit that the Subject Property was intended to be an income property for the brothers once it was remodeled. He testified that once his medical tests were over, he would start paying \$1,730.00 per month. But, to date, he has never paid \$1,730.00 in rent."

Here, Dwayne

does not dispute that he has never paid rent. However, outside of the parties' conflicting testimony, the only writing on this issue shows that Dwayne claimed he would begin paying \$1,730 in rent once he had his medical diagnosis. This is taken from an ambiguous group text message from August 2023 where Dwayne states,

"[a]s I explained I m going thru medical tests and I said I will pay the mortgage once the tests are over im going to pay \$1730 then \$3000." (Exhibit 6.)

Weighing the evidence, Plaintiffs did not memorialize any rental agreement with Dwayne in writing. Per all parties' testimony, Dwayne did not agree to sign any formal agreement regarding rent. Dwayne further points out that Plaintiffs testified that they had not even drafted an agreement for Dwayne to sign: "Both Arthur and Gary testified that the "letter" they allegedly wanted Dwayne to sign was never written. Gary specifically testified he never wrote the "Letter" that was allegedly to be signed at AAA." (Defendant's Reply Brief.) Based on Plaintiffs' testimony alone, Plaintiffs have failed to show a meeting of the minds regarding Dwayne's rental payments which is necessary to overcome the general rule that each tenant in common has the right to occupy the common property, and that one co-tenant generally cannot recover rent from another.

If Plaintiffs are entitled to rent, the only clear evidentiary basis it would arise from is Defendant's text message agreeing to pay after his diagnosis, which he received in February of 2026. Rent payments would thus only be owed from that date.

Further, Dwayne paid mortgage payments, property taxes, and homeowner's insurance during this time which otherwise should have been split by all three parties. Defendant's Exhibit 103 details these payments, Exhibit 106 reflects the mortgage loan history, showing repeated payments from July 2022 through April 2024, Exhibit 105 reflects homeowner's insurance premiums for multiple policy years, and Exhibit 107 reflects property tax payments. The Court is uncertain as to the exact amount of these offsets, and orders the Parties to meet and confer and stipulate to the amount and whether or not these amounts were paid out of the business account or Dwayne's personal funds. These amounts should offset any rent Plaintiffs seek.

3.

What offset, if any, should Arthur and Gary get for the \$95,589 in checks Dwayne wrote to himself?

Plaintiffs

allege that Dwayne made tens of thousands of dollars in checks out to himself from the parties' joint account, the ADG Kellum Brothers, LLC bank account, made numerous cash withdrawals, and did not provide the receipts, invoices, etc. supporting that the funds were used solely for the remodel of the Subject Property.

In their

reply brief, Plaintiffs state that they gave Dwayne credit for all payments supported by admissible evidence such as formal contractor invoices, receipts, and statements, which Plaintiffs stipulated as proper expenditures, and that the \$95,589.00 at issue represents only those amounts for which Defendants produced no documentation.

Dwayne

claims that these withdrawals were to pay subcontractors who asked to be paid in cash during the renovation.

Anthony

Locke testified that he performed construction work at the premises, and he requested payment in cash. He also testified that he did not have any bank statements, receipts, or any other documentary evidence to support any amount of money that he was paid and that even on the stand he was unsure about exactly how much he was paid. Nevertheless, he testified that he was paid \$17,680.00 as stated on the spreadsheet provided by Defendants as Exhibit 103.

Exhibit 103

was admitted into evidence and summarized Dwayne's remodel expenses, including vendor, contractor, labor, mortgage, insurance, property tax, utility, storage, hauling, plumbing, electrical, HVAC, fencing, and other payments. Exhibit 103 lists total cash and expense payments of \$196,827.67, lists 1,140 hours worked on the remodeling project, lists labor value of \$85,500.00, and lists a total remodel cost of \$282,327.67. Defendant's construction expert Steve Viani testified that day laborers commonly do not provide receipts, that day laborers are commonly used to keep construction costs down, that the time Dwayne spent was reasonable, and that the reasonable rate for the work Dwayne performed was approximately \$80 per hour. The expert also testified without dispute that a general contractor would have charged \$300,000 or more to perform the work Dwayne accomplished for under \$200,000." (Defendant's Closing Brief, p. 4.)

Here, based

on the evidence before the Court, Arthur and Gary are entitled to an offset for the amounts that Dwayne withdrew from the joint account that he cannot clearly prove were paid to contractors or otherwise used for the remodel.

Per

Plaintiffs' Closing Brief, Plaintiffs did not stipulate to the introduction or authenticity of the printouts prepared by Defendants and "signed" by certain contractors, namely payments to Anthony Locke and Jerimiah Tillman, as they were hearsay and required testimony. Defendants produced Anthony Locke to testify about his payments, however Defendants did not produce Jerimiah Tillman to authenticate the alleged payments to him. The Court agrees with Plaintiffs that the evidence as to payments to Jerimiah Tillman is hearsay and unsubstantiated by testimony, but Anthony Locke's testimony substantiates the \$17,680.00 Dwayne withdrew as stated on the spreadsheet provided by Defendants as Exhibit 103.

While Dwayne

repeatedly cites the fact that Plaintiffs did not ask for receipts until after the remodel was done as justification for his failure to keep accurate records, this does not absolve him of his fiduciary responsibility to keep an accounting of withdrawals from their joint account. The Court cannot reasonably rely on Dwayne's testimony alone to substantiate these withdrawals as Dwayne has a felony conviction for financial fraud and served prison time, which goes directly to his credibility on this issue.

Thus, Gary

and Arthur are entitled to a \$95,589.00 offset, which is the amount Dwayne withdrew from the joint bank account for which he has produced no documentation.

Therefore,

the Court orders the following:

1. Plaintiffs are entitled to a \$95,589.00 offset for checks written by Dwayne to himself

2. Plaintiffs are entitled to rent in the amount of \$1730 per month as of February 2026 to the present.

3. Defendant is entitled to \$50,000 in compensation for the remodeling of his home.

4. Defendant is entitled to an offset for amounts paid for the mortgage and property tax to the extent those monies did not come out of the business account;

5. The property located at 2315 Easy Avenue will be ordered to be sold (Partition by Sale) and proceeds to be split by each party's 1/3 interest minus offsets as listed above.

The Court sets a next Court date of September 4, 2026 at 8:30 a.m. to discuss the next steps such as appraisal of the property in the event there is a right of first refusal among the three brothers to purchase the property before a forced sale under CCP 874.317, the setting of an Order to Show Cause re Why the Court Should Not Order the Appointment of a Referee Pursuant to CCP 873.010, etc.